the fact that the payment of dividends is only an indication of financial strength; and not only does it fail to afford any direct advantage to the bondholder, but it may often be injurious to his interests by reducing the corporation's resources. In actual practice the dividend provisions of the statutes governing legal investments have at times had consequences directly opposite to those intended. Railroad companies in a weak financial position have improvidently continued dividend payments for the particular purpose of maintaining their bonds on the eligible list, so that the very practice supposed to indicate strength behind the bond has in reality undermined its safety.[6]

The Role of the Dividend Record in Bond Investment. The evidence given by the balance sheet and income account must be regarded as a more dependable clue to the soundness of an enterprise than is the record of dividend payments. It seems best therefore to dispense with all hard and fast rules on the latter point in determining the suitability of bond issues for straight investment. But the failure of a company to pay dividends when the earnings appear satisfactory should properly cause an intending bond buyer to scrutinize the situation with more than usual care, in order to discover whether the policy of the directors is due to weak elements in the picture not yet reflected in the income account. We might also point out incidentally that the bonds of dividend-paying companies possess a certain mechanical advantage in that their owners may receive a definite and perhaps timely warning of impending trouble by the later passing of the dividend; and being thus placed on their guard, they may be able to protect themselves against serious loss. Bonds of non-dividend-paying concerns are at a certain disadvantage in this respect, but in our opinion this may be adequately offset by the exercise of somewhat greater caution on the part of the investor.

The New York statute is somewhat more progressive than those of other states in its treatment of the dividend question. Railroads are

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[6] Cf. the testimony of the chairman of the New Haven in December 1936, in the Interstate Commerce Commission's investigation of that road, admitting that dividends were paid in 1931 to keep its bonds "legal" and listing other roads that paid unearned dividends presumably for the same reason (see *New York Times* of Dec. 3, 1936). For a much earlier example, see Dewing's discussion of the payment of unearned dividends by Boston and Maine Railroad in 1911–1913, to keep its bonds legal (*Financial Policy of Corporations*, 3d rev. ed., p. 609*n*). Also see our reference to the Wabash-Ann Arbor in 1930, note 10 in Chap. 25.